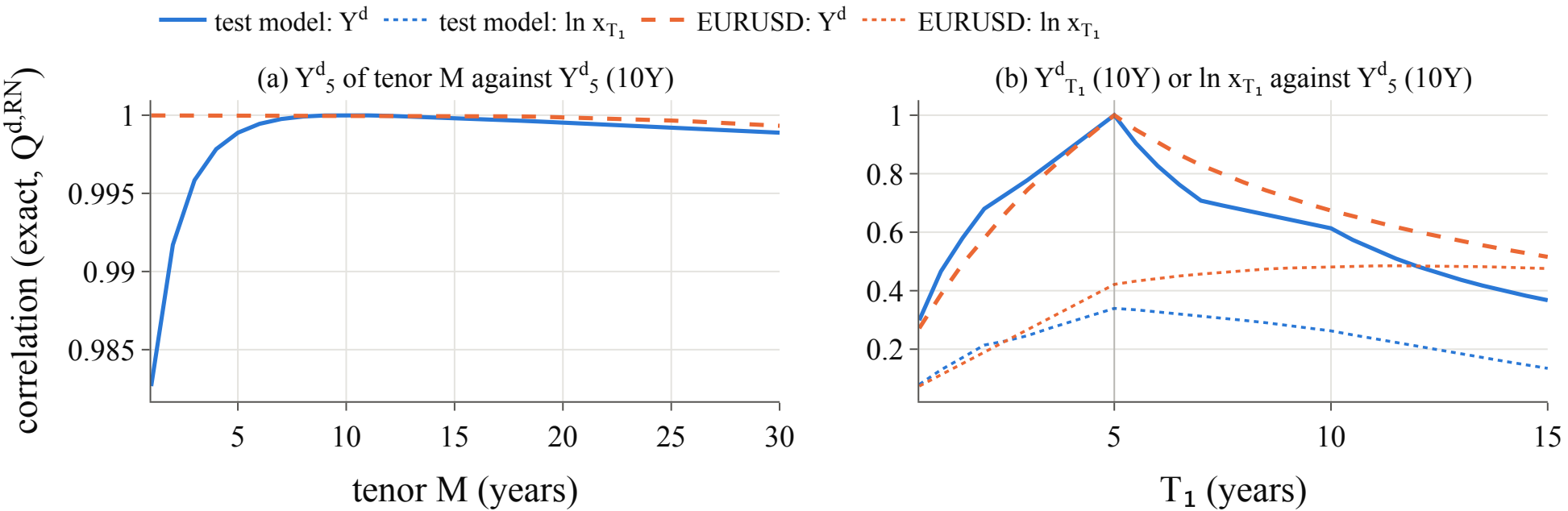

test model: Y^d
test model: ln x_{T_1}
EURUSD: Y^d
EURUSD: ln x_{T_1}
(a) $Y^d{}_5$ of tenor M against $Y^d{}_5$ (10Y)
(b) $Y^d{}_{T_1}$ (10Y) or ln x_{T_1} against $Y^d{}_5$ (10Y)
correlation (exact, $Q^{d,RN}$)
1
0.995
0.99
0.985
5
10
15
20
25
30
tenor M (years)
1
0.8
0.6
0.4
0.2
5
10
15
T_1 (years)